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Uganda Revenue Authority
DEVELOPING UGANDA TOGETHER

A Guide To Taxation Of The **MANUFACTURING SECTOR**



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Overview

Manufacturing is a process of physically or chemically transforming raw materials, substances, or components into new products. The raw materials, substances, or components transformed are products of agriculture, forestry, fishing, mining, or quarrying, as well as products of other manufacturing activities.

According to the International Standard Industrial Classification of all Economic Activities (ISIC), manufacturing involves substantial alteration (fabrications, welding, moldings, mixing), renovation or reconstruction of goods using power-driven machines and materials-handling equipment. It also includes transforming materials or substances into new products by hand or heavy machinery at factories or in the worker's home, etc.

The manufacturing sector is divided into two units

- a) Units that directly process materials or
- b) Units that contract with other units to process their materials for them.

The output of a manufacturing process may be a finished product in the sense that it is ready for utilization or consumption, e.g. ready beer, cement, clothes, and sugar, among others.

It may be semi-finished products (Intermediate), i.e. products used as inputs for further manufacturing e.g. sugar used as a raw material for the manufacturing of beer, spirits; milk used for processing cheese, ice-cream, primary aluminium is an input to aluminium wires, while aluminium wire is an input for the manufacture of fabricated wire products.

Some of the activities in the Manufacturing Sector include

- Manufacture of food products
- Manufacture of beverages
- Manufacture of tobacco products
- Manufacture of textiles
- Manufacture of wearing apparel
- Manufacture of leather and related products
- Manufacture of wood and products of wood and cork, except furniture;
- Manufacture of articles of straw and plaiting materials
- Manufacture of paper and paper products
- Printing and reproduction of recorded media
- Manufacture of coke and refined petroleum products
- Manufacture of chemicals and chemical products
- Manufacture of pharmaceuticals, medicinal chemicals, and botanical products
- Manufacture of rubber and plastics products
- Manufacture of other non-metallic mineral products
- Manufacture of basic metals
- Manufacture of fabricated metal products, except machinery and equipment

- Manufacture of computer, electronic, and optical products
- Manufacture of electrical equipment
- Manufacture of machinery and equipment
- Manufacture of motor vehicles, trailers, and semi-trailers
- Manufacture of other transport equipment
- Manufacture of furniture

OBLIGATIONS UNDER MANUFACTURING

REGISTRATION

All manufacturers in Uganda are required to be registered with;

- Uganda Registration Services Bureau (URSB) for business name or company registration
- Uganda Revenue Authority (URA) for taxes
- Local council authority e.g. KCCA, municipal council, for a trading license

Please note:

Upon registration, the manufacturer is required to comply with the requirements of statutory bodies like the Uganda National Bureau of Standards (UNBS), Uganda Investment Authority (UIA), and National Environment Management Authority (NEMA) among others.

Tax Registration

Registration with URA enables a manufacturer to acquire a Tax Identification Number. A TIN is a 10-digit unique number that acts as an account of a taxpayer with the Uganda Revenue Authority (URA). All taxpayers are required to quote this number in all their communications with URA and business transactions.

Note:

- A TIN is obtained free of charge and acts as a unique identifier for tax purposes. Please note that besides a TIN, for tax purposes, a National Identification Number issued by NIRA, a Registration Number issued by URSB or Tax Identification Number issued by a foreign tax authority with whom Uganda has a tax treaty shall be used for tax purposes in Uganda.
- No expenditure will be allowed for any expense that exceeds UGX 5 million in one transaction regarding supplies (goods or services) from an unregistered supplier

Key requirements for TIN registration include;

a) Individuals

An individual is a living person who applies for a TIN. The required documents include:

- A copy of the National identification card or,
- Any two of the following identification documents; Passport, Employee ID, NSSF Card, Voter's Card, Driving License, Work Permit, Village Identity Card, Financial Card, Certified Bank Statement (past 90 days),

VISA card Number, Diplomatic Foreign Affairs ID.

Please take note of the following categories that need additional requirements

i) Foreign Directors

A Foreign Director is a non-Ugandan who has incorporated a company in Uganda. For resident foreign directors to qualify for a TIN in Uganda, they are required to have the following documentation:

- Valid passport and
- Either a National ID for a citizen, a Refugee ID, or a work permit for a non-citizen (non-East African).

ii) Non-resident directors

At least two valid identification documents are mandatory, i.e. valid passport and foreign national security cards among others.

Note: A work permit is **not** mandatory for foreign directors as it is a requirement to have a **TIN** to process a **work permit**.

iii) Minors

A Minor is a person who is under 18 years of age. For minors to qualify for a TIN, a copy of the Legal / Court document of guardianship shall be attached.

b) Non-Individuals

A Non-Individual is an entity that is not a living person, and it includes a partnership, trust, company, retirement fund, government, etc.

Entity Type	Entity Sub Type	Documents required (M- Mandatory, O- Optional)
Company	• Public Company	• Certificate of Incorporation (O) • Memorandum between Government and Entity (M)
	• Private Company	• Company form 7(20) (M) • Certificate of Incorporation (M) • Company form 8 (O)
	• Foreign Company	• Certificate of Registration (M) • Company form 19 (M) • Company form 21 (M)

Other Entity types	● Club, Society or Associations	● Certificate of Registration (M) ● Club Constitution (O)
	● Estate or Trust	● Certificate of registration (M) ● Trust deed (O)
Partnership	● General Partnership	● Partnership deed (O) ● Certificate of Registration (M) ● Statement of Particulars (M)
	● Joint Venture (JV) NB: i) Where the name of the JV is different from the corporate names of all partners which are corporations. ii) Where a partner in the JV is a resident person, the JV shall be registered as a resident partnership. iii) Where none of the partners in the JV is a resident person, the J shall be registered as a non-resident partnership.	● Joint venture agreement duly endorsed by the Registrar of companies ● Registration/incorporation documents shall be required for the individual partners in the JV ● Certificate of Registration of the JV under the Registration of Business Names Act
	● Limited Liability Partnership	● Certificate of Registration of the Limited Liability Partnership (M) ● Statement of Particulars (M) ● Memorandum and Articles of Association (M)

A. Step-by-Step Registration as an Individual

Step 1: Visit the URA web portal <https://ura.go.ug> and on the home page, click **'Get a TIN'**

Step 2: Next, click **'Instant TIN Application'**

Step 3: On the Instant TIN Application page, click **'click to apply for an Instant Tin'**

Step 4: On the TIN Registration page, **select Individual as the applicant category**

Step 5: Fill in the National ID Number (NIN), source of income, and current physical address. Fields labeled with a red asterisk (*) are mandatory fields. **Before clicking 'apply,'** first confirm you are not a robot

Please note:

Where the source of income is employment, the employer's TIN is mandatory and for a registered business the business registration date, name and number are mandatory.

Step 6: After Submission, the TIN applicant will then get an Instant TIN and a provisional TIN certificate.

B. Step-by-Step Registration as an Individual

Step 1: Visit the URA web portal <https://ura.go.ug> and on the home page, click **"Get a TIN"**

Step 2: Click **'TIN Registration – Non-Individual'**

Step 3: Select **'New form'** and under Download template for registration, click **'TIN Non-Individual'** to download the registration template.

Step 4: Save the downloaded registration template at a preferred location. It is a MS Excel template which must not be renamed.

Step 5: Fill all required fields of the Registration template. Fields labelled with a red asterisk (*) are mandatory fields.

Step 6: After filling the required fields of the registration template, you need to validate the data by clicking on the **VALIDATE** button located on the last work sheet (Schedule 4-5). The purpose of the **VALIDATE** button is to check for completeness, consistency and accuracy of the provided data.

Step 7: If there is an error, you will be directed to the error page to correct the errors and validate again.

Step 8: If there is no error, select **'Yes'** from the dropdown list to save this template as an upload file. Save the upload file at desired location.

Please note; At the point of saving the upload file, do not rename it.

Step 9: Return to the same page on the URA portal where you downloaded the registration template and upload the saved upload file. On the same page, download and print the terms and conditions.

Step 10: Click submit. Upon submission, an acknowledgement receipt will be displayed with two buttons at the bottom i.e. Print and print form

- Click **'print'** to print the acknowledgement receipt.
- Click **'print form'** to print the filled application form.

The acknowledgement receipt will also be sent to the companies' email address or email of one of the directors depending on who has the highest shares.

Please take note of the **reference number** and **search code** that are indicated on the e- acknowledgement receipt, as you will use them to check status of the TIN application.

Step 11: After printing the application form, fill out and sign the section for DECLARATION and CERTIFICATION.

Step 12: The TIN applicant is required to submit a signed hard copy of the filled application form, signed terms and conditions and the necessary identification documents to the nearest URA office.

What are the benefits of acquiring a TIN?

Acquiring a TIN enables you to:

- 1. Import or export goods and services within and outside Uganda.
- 2. Claim tax benefits that accrue to you e.g. tax refunds etc.
- 3. Access bank loans above 50 million shillings.
- 4. Acquire a trading license from the Local Government / KCCA to undertake business in their jurisdiction.
- 4. Register your Motor Vehicle
- 5. Process land transactions above 10 Million Shillings.

The TIN acts as a security measure on transactions regarding some assets e.g. already validated motor vehicles, titled land since a notification is automatically sent to the owner's TIN account and registered email.

RIGHTS AND OBLIGATIONS AS A TAXPAYER

Rights	Obligations
• You have a right to equity: • Tax laws and procedures shall be applied consistently to you • All your tax affairs will be handled with impartiality • You and your agent(s) shall be presumed honest until proven otherwise • You shall always pay the correct tax	• Ensure that you voluntarily register with the Uganda Revenue Authority as a Taxpayer. • File correct Tax Returns, Customs Entries or any forms relating to taxes and other revenue. • Pay the correct tax at the right time and place as required by the relevant laws.

• Your tax affairs shall be kept secret and tax information in our possession shall be used in accordance with the law. • You and your authorized agent(s) shall be provided with clear, precise and timely information • You will receive courteous and professional services at all times	• In handling your tax matters, you and or your appointed agent(s) shall be expected to deal and cooperate only with the Authority's authorized staff. • Be honest with URA. • Quote your Tax Identification Number (TIN) for all dealings with URA. • Comply with all the taxation requirements and regulations. • Make full disclosure of information and correct declaration of all transactions at all times. • Not indulge in any form of tax evasion and other illegal practices. • Request for a proper receipt for all your purchases and keep records properly.
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RECORD KEEPING

What kind of records do I have to keep?

A manufacturing business has to keep records relating to all its transactions. It is important to always have records that are dated so that you can understand which reports relate to what period. These include;

- Record of income realized in a given year
- Record of receipts/invoices and payments
- Record of vaccination details if applicable
- Record of debtors and Creditors
- Payroll for your employees if applicable
- Import schedules if applicable
- Contracts for supply
- Bank statements
- Utility bills
- Stock records
- Asset registers

Guidance on Proper Record Keeping

It is very important for taxpayers to;

- Keep proper records of all business transactions in the English language;
- Keep records such that it is easy to determine your tax liability;
- Keep records for five years after the end of every tax period to which they relate for future reference.
- In case a record is necessary for a proceeding that started before the end of the 5-year period, a taxpayer shall keep the record until the end of the proceedings.

- The records kept should contain sufficient transaction information and should be saved in a format that is capable of being recovered and converted to a standard understandable record format.
- A taxpayer who wishes to keep records in a different language or currency shall apply to URA in writing with clear reasons to the commissioner.
- Where a record is not in English, the taxpayer will be required to meet the cost of translation into English by a translator approved by the Commissioner.
- However, the taxpayer shall file a tax return or provide other correspondence with the Commissioner in English.

What is the penalty for failure to maintain proper records?

The penalty for knowingly or recklessly or not failing to maintain records as required under any tax law is a fine not exceeding Shs. 2,000,000 or imprisonment not exceeding six years or both on conviction.

Note: A tax payer, who cannot effectively handle his tax matters, can appoint a tax agent to transact with URA on his/her behalf.

FILING TAX RETURNS

A tax return is a declaration in a form prescribed by the Commissioner, on which a taxpayer reports his or her income for the tax period as a way of self-assessment for taxation purposes. A taxpayer registered with URA for any tax type other than Pay as you earn (PAYE) must submit a return for the tax period as per the respective tax law.

A tax period is the duration for which a return is required i.e. a year, month or week. A due date is the deadline for filing a return beyond which a person is required to pay a penalty. URA has facilitated the taxpayers to fulfil this obligation by introducing the electronic filing of tax returns

Return type	Due date and filing remarks
Income tax	• Every taxpayer is required to furnish a return of the provisional tax estimate For non-individuals: On or before the last day of the sixth month of the year of income in respect to the taxpayer's liability. For individuals: On or before the last day of the third month of the year of income in respect of a taxpayer's liability.

	All taxpayers are required to submit final Income tax returns (including rental income returns where applicable) for each year of income not later than the sixth month after the end of the year of income. Those with an annual turnover above 500 million shillings must file their income tax returns with audited financial statements prepared by an accountant registered by the Institute of Certified Public Accountants of Uganda.
VAT	All VAT registered taxpayers are required to submit Value Added Tax returns (VAT) for each month by the 15th day of the following month.
PAYE	All PAYE registered taxpayers are required to submit Pay As You Earn (PAYE) tax returns for each month by the 15th day of the following month.
Excise duty	All taxpayers registered for Excise duty are required to file Excise duty returns for each month by the 15th day of the following month.
Withholding Tax	All designated taxpayers registered for withholding tax are required to file WHT returns for each month by the 15th day of the following month.
Others	In case of any return required to be submitted under the tax law, it must be done within the specified period under the tax law.

Note

- All tax returns must be submitted in the prescribed format, and the commissioner can appoint any other person to assist a taxpayer who fails to file at his/her cost.
- The law provides for a separate quarterly return for non-resident suppliers of services deemed to be supplied in Uganda when made to non-taxable persons.

PAYMENT OF TAX

All operators in the Manufacturing sector are required to pay their tax liabilities by the due dates of filing the respective returns to avoid the accumulation of interest. All payments are due when the respective tax returns are due, thus, any tax payable is a debt to the Government of Uganda. A taxpayer can apply in writing to the Commissioner for an extension to pay tax at a later date, but this does not change the payment due date, and thus interest will be charged on any outstanding liability from the date when the payment was due

Procedure for paying tax

- Taxes are paid through registering a payment online through the

URA web portal or using the Ask URA App (downloadable from Google Store) or dialing URA's USSD code *285# and then effecting the payment either in the Bank, through Mobile Money or Pay way services.

- To register a tax payment online, visit the web portal (ura.go.ug), click on 'Make a payment', and follow the prompts.
- Select the tax head, go to the details of Tax Type, select the appropriate tax head from the drop-down, and input the tax amount.
- Fill in the details of the Taxpayer and mode of payment, enter the text from the given image (Please note that the letters are case sensitive and there is no space between values)
- Click the 'Accept and Register' button and print out the Payment Registration Slip that appears on submission of payment details, or take note of the Payment Registration Number (PRN) on the slip.
- To effect payment, take the printed payment registration slip to the bank or use the PRN on the payment slip to pay through Mobile Money, pay way or Visa/ Master Card Services.

TAXES APPLICABLE TO THE MANUFACTURING SECTOR

A. INCOME TAX

Any person dealing in an income-generating venture is required to register for income tax. Income tax applies generally to all types of persons who derive income, whether an individual, non-individual or partnership.

- Resident persons are taxed on worldwide income, while non-resident persons are taxed only on income derived from sources in Uganda.
- The taxpayer is required to make a self-assessment by calculating taxable income and then calculating the tax due on that income. The taxpayer's calculations are reviewed by revenue officials when returns are filed to ensure that the declarations made are correct.

The income tax rates apply differently to;

a) Individuals

b) Non-individuals

i) Non-Individual Income Tax (Corporation Tax)

This is imposed on all corporate entities (Companies) in the manufacturing sector. Income Tax is charged at a rate of 30% on the profits from business (Chargeable Income).

Income tax worked example for a non-individual in business:

ABC limited incurred the following costs of production for the period 1/1/2021 to 31/12/2022

Production Costs	UGX	UGX
Opening stock of raw materials	100,000	
Add purchases of raw materials	200,000	
Less Closing stock of raw materials	(50,000)	
Cost of raw materials		250,000
Cost of direct labor		200,000
Direct expenses		100,000
Prime Costs		550,000
Add factory Overheads		
Factory rent	10,000	
Power	56,000	
Indirect wages	13,000	
Total production costs		629,000

Calculate the tax payable to the Uganda Revenue Authority by ABC Limited.

SOLUTION

TRADING ACCOUNT	UGX	UGX
Sale of finished goods	1,200,000	
Add other income (e.g. commission)	200,000	
Total Sales		1,400,000
Less cost of goods sold:		
Opening stock	15,000	
Add Production cost (fig from above)	629,000	

Less closing stock of finished goods	(50,000)	
Total cost of sales		(594,000)
Gross profit		806,000
Less Expenses		
Administrative expenses	(12,000)	
Selling and distribution expenses	(15,000)	
Financial expenses	(26,000)	
total		(53000)
Net profit for the year		753,000
Tax 30%*753,000		225,900

The tax payable to URA will be UGX 225,900.

Note; If a taxpayer incurs a loss, then the tax payable would be zero.

ii) **Individual Income tax**

The income tax rate for individuals depends on the income bracket in which the individual falls. Resident individuals enjoy a tax-free annual income threshold of UGX. 2,820,000 per annum. The balance is taxed at 10%, 20% or 30% depending on the income bracket. Individuals who earn above UGX 120,000,000 per annum pay an additional 10% on the income above UGX 120 million.

N.B CY represents chargeable income.

Rate of tax for Resident individuals

ANNUAL CHARGEABLE INCOME (CY) IN UGX	RATE OF TAX
	Residents
Not exceeding Ushs. 2,820,000 Per annum.	Nil
Exceeding Ushs.2,820,000 but not exceeding 4,020,000 per annum	$(CY - 2,820,000UGX) \times 10\%$
Exceeding Ushs.4,020,000 but not exceeding 4,920,000 per annum	$(CY - 4,020,000UGX) \times 20\% + 120,000UGX$
a) Exceeding Ushs 4,920,000 per annum	a) $(CY - 4,920,000UGX) \times 30\% + 300,000UGX$
b) Above 120,000,000 per annum	b) $[(CY - 4,920,000UGX) \times 30\% + 300,000UGX] + [(CY - 120,000,000UGX) \times 10\%]$

Rate of tax for Non-Resident individuals

ANNUAL CHARGEABLE INCOME (CY) IN UGX	RATE OF TAX
	Non-Residents
Not exceeding Ushs.4,020,000 per annum	10%
Exceeding Ushs.4,020,000 but not exceeding Ushs.4,920,000 per annum	$(CY - 4,020,000UGX) \times 20\% + 402,000$
a) Exceeding Ushs.4,920,000 per annum	a) $(CY - 4,920,000UGX) \times 30\% + 582,000UGX$
b) Above 120,000,000	b) $[(CY - 4,920,000UGX) \times 30\% + 582,000UGX] + [(CY - 120,000,000UGX) \times 10\%]$

Illustration for a resident individual in business:

Using the example of ABC manufacturing above; assuming it's registered as an individual, and is a resident, the tax payable would be:

Answer

The chargeable Income of 753,000 falls in the bracket (0 to 2,820,000 UGX)
Tax payable = Nil

iii) Presumptive Tax

The concept of small businesses in taxation was developed to accommodate low-income taxpayers who would ordinarily find it difficult to prepare formal accounts. The preparation of these accounts would usually require the engagement of a professional accountant, which is costly. In order to address this challenge, the Income Tax Act provides for an arrangement of taxing small businesses based on gross turnover or total sales. This is commonly referred to as presumptive tax.

For income tax purposes, a small business taxpayer is a resident taxpayer whose gross turnover from all businesses owned by such a person in a year is more than ten million shillings but does not exceed one hundred fifty million shillings. The term TURNOVER refers to one's total sales in a year.

However, persons in the following business activities are excluded from presumptive tax: medical, enter, architectural, accounting and audit, legal, dental, construction, engineering, any other professional services, public utility and public entertainment services.

Note: Persons outside the presumptive scheme are required by law to file provisional and final income tax returns and be assessed to tax based on chargeable income for the year.

Schedule for the computation of “presumptive” income tax for small businesses

Gross turnover per annum	With records	Without records
Not exceeding UGX 10 million	NIL	NIL
Exceeding UGX 10 million but does not exceed UGX 30 million	0.4% of annual turnover exceeding 10 million	UGX 80,000
Exceeding UGX 30 million but does not exceed UGX 50 million	UGX 80,000 plus 0.5% of annual turnover exceeding UGX 30 million	UGX 200,000
Exceeding UGX 50 million but does not exceed UGX 80 million	UGX 180,000 plus 0.6% of annual turnover exceeding UGX 50 million	UGX 400,000
Exceeding UGX 80 million but does not exceed UGX 150 million	UGX 360,000 plus 0.7% of annual turnover exceeding UGX 80 million	UGX 900,000

Note: No deductions are allowed in respect of any expenditure or losses and the assessed tax is final for presumptive tax payers, however one has an option of filing returns

Key features of the presumptive tax regime

1. The tax is computed on the basis of a GROSS TURNOVER; and is a final tax.
2. No deductions are allowed in respect of any expenditure or losses.
3. No tax credit is allowed to be offset against the final tax except in the following cases:
 - A tax credit arising out of withholding on receipt included in the gross turnover of the taxpayer
 - Any provisional tax paid against the taxpayer’s gross turnover during the year of Income

Note: A taxpayer who would ordinarily fall under the presumptive tax regime may opt out by notifying the Commissioner in writing to be assessed on chargeable income. The chargeable income method involves the preparation of financial statements by the taxpayer. Such a taxpayer is required to submit the election notice together with their Annual Income Tax Return for that year by the due date of filing such return of income.

B. PAY AS YOU EARN (PAYE)

Any person dealing in a manufacturing sector and offers employment is required to be registered for Pay As You Earn (PAYE). Employment refers to a;

- Position of an individual in employment of another Person
- Directorship of a company, a position entitling the holder to a fixed or ascertainable remuneration.
- Holding or acting in a public office.

Employment income includes gross cash received in form of; salary, leave pay, payment in lieu of leave, overtime pay, fees, commission, gratuity, bonus, allowances (entertainment, duty, utility, welfare, housing, medical, sitting, transport or any other allowances).

Benefits in kind include use of employer office Motor vehicle for personal errands, free accommodation, use of driver, domestic workers and free utilities (power, water) paid by the employer on behalf of the employee. The benefits in kind are computed using particular formulae in the 3rd Schedule of the Income Tax Act.

PAYE is tax withheld from all employees earning a salary income above the stated threshold as per the Income Tax Act and filed by the employer to URA by the 15th of the following month.

PAYE tax rates for Resident individuals

MONTHLY CHARGEABLE INCOME (CY) IN UGX	RATE OF TAX
	Residents
Not exceeding Ushs. 235,000 Per Month.	Nil
Exceeding Ushs.235,000 but not exceeding Ushs. 335,000 per month	$(CY - 235,000UGX) \times 10\%$
Exceeding Ushs.335,000 but not exceeding Ushs. 410,000 per month	$(CY - 335,000UGX) \times 20\% + 10,000UGX$
a) Exceeding Ushs 410,000 per month	a. $(CY - 410,000UGX) \times 30\% + 25,000UGX$
b) Above Ushs.10,000,000 per month	b. $[(CY - 410,000UGX) \times 30\% + 25,000UGX] + [(CY - 10,000,000UGX) \times 10\%]$

PAYE tax rates for Non-Resident individuals

MONTHLY CHARGEABLE INCOME (CY) IN UGX	RATE OF TAX
	Non-Residents
Not exceeding Ushs.335,000 per month	10%
Exceeding Ushs.335,000 but not exceeding Ushs.410,000 per month	$(CY - 335,000UGX) \times 20\% + 33,500 UGX$
a) Exceeding Ushs.410,000 per month b) Above 10,000,000	a) $(CY - 410,000UGX) \times 30\% + 48,500 UGX$
	b) $[(CY - 410,000UGX) \times 30\% + 48,500UGX] + [(CY - 10,000,000UGX) \times 10\%]$

Illustration

PAYE worked examples for resident employees

1) Kamonde is a resident employed by ABC Manufacturing Ltd. He earns a monthly salary of UGX 200,000. Is the company obliged to deduct PAYE tax from Kamonde?

Solution; No, because Kamonde's monthly salary is less than the threshold of UGX 235,000, so his salary does not attract PAYE.

2) If Kamonde in addition to the monthly salary of UGX 200,000, is given a travelling monthly allowance of UGX 95,000, a medical monthly allowance of UGX 55,000 and a monthly allowance for accommodation of UGX 150,000, compute his monthly PAYE amount to be deducted from Kamonde?

Solution;

Computation of Monthly Employment Income:

Salary	200,000 UGX
Travelling allowance	95,000 UGX
Medical allowance	55,000 UGX
Accommodation allowance	150,000 UGX
Total {chargeable income}	500,000 UGX

Computation of the PAYE to be deducted:

{500,000 falls under the bracket (Exceeding Shs 410,000 but not exceeding 10,000,000)}

Thus, the PAYE applicable will be (30% of the amount by which chargeable income exceeds Shs 410,000 + 25000

	UGX
Chargeable Income	500,000
Less	410,000
Balance	90,000

30 %	27,000
Add	25,000
Tax there on in UGX	52,000

PAYE worked examples for a non-resident employee.

Mr. Brown is a non-resident employed by ABC Manufacturing Ltd and earns a monthly salary of UGX 15,000,000. Compute his monthly amount of PAYE to be deducted?

Solution

15,000,000 falls under the bracket (Exceeding UGX 410,000)

Thus PAYE = (30% (15,000,000 - 410,000) + 48,500) + 10% (15,000,000 - 10,000,000) = UGX 4,925,500.

C. WITHHOLDING TAX (WHT)

Withholding tax (WHT) is income tax withheld at source by one person (withholding agent) upon making payment to another person (payee).

A withholding agent is a person legally obliged to withhold tax on payment. To become a withholding agent, one must;

- Be on the list of selected / designated withholding agents published by the Minister of finance in a gazette or
- Be making a payment on a transaction that is legible for WHT deduction.

Withholding tax may be final or creditable;

- Under the final withholding tax system, the amount of income tax withheld by the withholding agent is constituted as a full and final payment of the income tax due from the payee on the said income. The payee is not required to file an income tax return for the particular income that has faced final withholding tax.
- Under the creditable withholding tax system, taxes withheld on certain income payments are advance tax payments which are offset against a final tax liability in an assessment for a particular year of income. The payee is required to file an income tax return to report the income and/or pay the difference between the tax withheld and the tax due on the income.

WHT should be considered when making the following payments:

i. International payments: Tax is imposed on every non-resident person who derives any dividend, interest, royalty, natural resource payment or management charge from sources in Uganda. The tax is withheld by the payer at the rate of 15% on the gross amount before payment.

ii. Payments to non-resident Contractors or professionals: Tax is imposed on every non-resident person deriving income under a Ugandan source service contract. The tax is charged at 15% of the gross amount of payment and the person making the payment should withhold the relevant tax before effecting the payment.

iii. Payments on dividends: A resident company which pays a dividend to a resident shareholder is required to withhold tax at 15% of the gross amount of the dividend paid, except where the dividend income is exempt from tax in the hands of the shareholder. However, where the dividend is paid by a company listed on the stock exchange to a resident shareholder, the rate is 10% on the gross amount.

iv. Payment for Goods and services: Any payment of amounts in total exceeding Shs. 1,000,000 to any person in Uganda for the supply of goods, materials of any kind or services, is required to withhold 6% of the gross amount. The threshold of Shs. 1,000,000 is in respect of the total contract value, implying that separate supplies which constitute one contract are subject to the 6% withholding tax regardless of the fact that the amount paid per a single supply or transaction is less than the threshold value.

v. Payments to insurance agents: An insurance service provider who pays commission to an insurance agent is required to withhold 10% of the payment.

vi. Payments to advertising agents: A person who makes a commission payment to an advertising agent is required to withhold 10% of the gross amount of the payment.

Please note;

- The responsibility for payment of the WHT rests primarily on the person making payment as a withholding agent and failure to remit will render the withholding agent liable for the tax due.
- A WHT Agent is required to file and pay the tax withheld within 15 days after the end of the month in which the payment subject to withholding tax was made by the WHT Agent.

Illustration

If Kato a resident individual supplies factory sundry worth 100 million UGX to ABC manufacturing, he will receive a net of 94 million UGX and the 6 million UGX (6% of 100 million UGX) will be withheld and remitted to URA by ABC Ltd on his behalf. Note that the 6 million UGX withheld forms part of Kato's annual Tax liability and thus will reduce his Tax liability for the year.

D. VALUE ADDED TAX (VAT)

VAT is an indirect tax on consumption charged on value added to taxable supplies at different stages in the chain of distribution.

Taxable supplies are goods or services supplied by a taxable person i.e. persons registered or required to register for VAT purposes.

Taxable supplies are not exempt and can either be; Standard rated at 18% VAT or Zero-rated at 0% VAT.

The threshold for VAT registration is Shs. 37.5 million in the first 3 consecutive months of the annual turnover of Shs.150million of taxable supplies.

Please Note: Manufacturers dealing in taxable supplies with a gross turn over above 150 million are required to register for VAT.

Voluntary Registration for VAT

The Commissioner General shall register a manufacturer who applies for registration and issue to that person a certificate of registration including the VAT registration number (TIN) unless the Commissioner General is satisfied that;

- a. A person has a fixed place of abode or business; or
- b. The Commissioner General has reasonable grounds to believe that that person:
 - Will keep proper accounting records relating to any business activity carried on by that person;
 - Will submit regular and reliable tax returns as required by Section 31; or
 - Is a fit and proper person to be registered

Some transactions are beyond the scope of VAT and these are classified as Exempt supplies. Supplies on which VAT is charged at 0% are classified as zero-rated supplies.

Issuance of EFRIS documents

All VAT-registered taxpayers must issue e-invoices, as no tax credit is allowed or claimable on purchases unless they are supported by e-invoices. Non-VAT registered taxpayers issue e-receipts when using the EFRIS system.

- All VAT-registered taxpayers are obliged to register for EFRIS and issue fiscalized invoices i.e. e-invoices. The Electronic Fiscal Receipting and Invoicing Solution (EFRIS) is a new smart business solution used to record business transactions and share the information with URA in real time.
- An e-invoice shows that a sale has occurred through EFRIS. It shows the seller's details, URA information, Buyer's details, Goods and services details, Tax details and summary sections.

Penalties for non-compliance to EFRIS

A VAT-registered taxpayer who does not adopt the use of EFRIS is liable to pay a penal tax equivalent to double the tax due on the goods or services.

Illustration

Mertz Investments made the following sales (VAT inclusive) to the following customers in the month of September 2021. Usur 5,000,000 UGX, Biyinzika 600,000 UGX and Coka 3,200,000 UGX. Mertz Investments also incurred the following purchases (VAT inclusive) Globo Chemicals (U) Ltd 1,200,500 UGX. Jactor Supermarket 100,800 UGX.

Calculate the VAT payable to URA.

SALES					
Name	Particulars	TIN	Amount charged (UGX)	18% VAT (UGX)	VAT Inclusive (UGX)
Usur	Cooking oil	1000427333	4,237,288	762,712	5,000,000
Biyinzika wholesalers	Soap	1002240249	508,475	91,525	600,000
Coka super-market	Cooking oil	1000243003	2,711,864	488,136	3,200,000
				1,342,373	
PURCHASES					
Globo Chemicals ltd	Factory supplies	1000159958	1,017,373	183,127	1,200,500
Jactor Supermarket	Detergents	1000153993	85,424	15,376	100,800
				198,503	

OUTPUT TAX (Sales) - INPUT TAX (Purchases)

1,342,373-198,503 = 1,143,870 UGX VAT is payable to URA

Note; When you are VAT registered, you can charge VAT to all your customers on taxable sales however, you can only claim input tax that relates to the output sales.

E. LOCAL EXCISE DUTY

This is a tax that is imposed on specified imported or locally manufactured goods, and services. Initially, Excise Duty was meant for “luxury” or prohibited items. However, excise duty is now treated as any other source of revenue for the

Government. The applicable rates may be specific or ad valorem.

The tax is imposed on the value of the import; and in the case of locally manufactured goods, the duty (local excise duty) is payable on the ex-factory price of the manufactured goods.

Locally manufactured goods exported out of Uganda are exempt from excise duty. Persons supplying excisable goods and services are required to register and file monthly returns to the tax authority by the 15th day of the month following the month in which delivery of the goods was made.

Goods	Excise duty Rates 2025/2026
Cigarettes	
Soft cap cigarettes:	
Locally manufactured	UGX 65,000 per 1,000 sticks
Imported	UGX 150,000 per 1,000 sticks
Hinge lid cigarettes:	
Locally manufactured	UGX 90,000 per 1,000 sticks
Imported	UGX 200,000 per 1,000 sticks
Cigars, cheroots, and cigarillos containing tobacco	200%
Smoking tobacco, whether or not containing tobacco substitutes in any proportion	200%
Homogenised or reconstituted tobacco or other tobacco.	200%
Beer	
Beer made from malt.	60% or UGX 2,050 per litre, whichever is higher.
Beer whose local raw material content, excluding water, is at least 75% by weight of its constituents.	30% or UGX 900 per litre, whichever is higher.
Opaque beer Any other alcoholic beverage locally produced.	20% or UGX 230 per litre, whichever is higher
Powder for reconstitution into beer	UGX 2,500 per litre.
Spirits	
Un-denatured spirits made from locally produced raw materials	60% or UGX 1500 per litre, whichever is higher

Un-denatured spirits of alcoholic strength by volume of 80% or more made from imported raw materials.	100% or UGX 2,500 per litre, whichever is higher
Any other un-denatured spirits i) that are locally produced, of alcoholic strength by volume of less than 80% or ii) that are imported of alcoholic strength by volume of less than 80%.	80% or UGX 1,700 per litre, whichever is higher
Non-alcoholic beverages	
Non-alcoholic beverages (excluding fruit or vegetable juices)	12% or UGX 250 per litre, whichever is higher
Fruit and vegetable juice, except juice made from at least 50% of pulp from fruit and vegetables grown in a partner state	10% or Shs 250 per litre, whichever is higher
Powder for reconstitution to make juice or dilute-to-taste drinks, excluding pulp	15% of the value
Any other non-alcoholic beverage locally produced (excluding non-alcoholic beverages not including vegetable or fruit juices) made out of fermented sugary tea solution with a combination of yeast and bacteria	Excise duty of 10% or shs 150 per litre whichever is higher
a) Any other fermented beverages made from imported cider, perry, mead, spears or near beer	60% or shs 950 per litre; whichever is higher
b) Any other fermented beverages, including cider, perry, mead, or near beer produced from locally grown or produced raw materials	30% or shs. 550 per litre; whichever is higher
Wine	
Wine produced from local raw materials	20% or UGX 2,000 per litre, whichever is higher
Other wines	100% or UGX 10,000 per litre, whichever is higher
Fuel	
Motor spirit (gasoline)	UGX 1550 per litre
Gas oil (automotive, light, amber for high speed engine)	UGX 1230 per litre
Other gas oils	UGX 630 per litre

Gas oil for power generation to the national grid	NIL
Illuminating kerosine	UGX 200 per litre
Jet A1 aviation oil	UGX 630 per litre
Other excisable goods	
Mineral water, bottled water and other water purposely for drinking	10% or UGX 50 per litre, whichever is higher
Lubricants under HS codes 2710.19.51, 2710.19.52, 3403.19.00 and 3403.99.00, including motor vehicle lubricants but not aircraft lubricants.	15%
Sugar confectionaries, chewing gum, sweets, and chocolates	Nil
Furniture manufactured in Uganda using local materials but excluding furniture which is assembled in Uganda	Nil
Other furniture	20%
Specialised hospital furniture	Nil
Cosmetics and perfumes (except creams used by persons with albino in the treatment of their skin)	10%
Cement, adhesives, grout, white cement or lime	UGX 500 per 50 kgs
Cooking oil	UGX 200 per litre
Cane or beet sugar for industrial use	0%
Cane or beet sugar and chemically pure sucrose in solid form	UGX 100 per kg
Sacks and bags of polymers of ethylene and other plastics under HS codes 3923.21.00 and 3923.29.00, except vacuum packaging bags for food, juices, tea and coffee sacks, and bags for direct use in the manufacture of sanitary pads	2.5% or USD 70 per tonne, whichever is higher.
Construction materials for development of industrial parks or free zones by a developer whose investment is at least fifty million United States Dollars in case of a foreigner and ten million United States Dollars, in case of a citizen	NIL

Construction materials of a factory or warehouse exclusive of those available on the local market, locally produced raw materials and inputs to an operator within the industrial park, free zone, single factory or other business outside the industrial park or free zone who meets the following requirements – (a) a minimum investment capital of ten [fifteen] million United States Dollars in the case of a foreigner or three hundred thousand [USD 3,000,000] United States Dollars in the case of a citizen; or one hundred fifty thousand United States Dollars, for a citizen whose investment is placed up country. (b) processes agricultural goods; manufactures or assembles medical appliances, medical sundries or pharmaceuticals, building materials, automobiles, household appliances or manufactures, furniture, pulp, paper, printing and publishing of industrial materials; carries on business in logistics and warehousing, information technology or commercial farming; tyres, footwear, mattresses or toothpaste. (c) seventy per cent of the raw materials used are sourced locally, subject to their availability; (d) employs at least seventy per cent of its employees being citizens, earning an aggregate wage of at least seventy percent of the wage bill, and (e) provides for the substitution of thirty percent of the value of imported products	NIL
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Construction materials of a manufacturer, other than a manufacturer referred to in item 21, whose investment capital is, at least fifty million United States Dollars or, in the case of any other manufacturer, who makes an additional investment equivalent to fifty million United States Dollars ⁷⁷⁴	NIL
Construction materials of a manufacturer of electric vehicles, electric batteries or electric vehicle charging equipment or fabricators of frames and bodies of electric vehicles, whose investment capital is at least thirty-five United States Dollars in the case of a foreigner, or five million United States Dollars in the case of a citizen	NIL

Computation of excisable duty payable

EXCISE DUTY PAYABLE = (EX-FACTORY PRICE X QUANTITY) X EXCISE DUTY RATE

However, Ex-factory price is defined as;

ITEM	AMOUNT
Cost of materials	XXXX
Add: other related costs (overheads)	XXXX
Total Cost	XXXXXX
Add: PROFIT	XXXX
Ex- Factory Price	XXXXXX

Example

Kanya Company Limited produced and delivered 400 cartons of bottled water to a concert. The ex-factory price per carton was 20,000 UGX, and the excisable duty rate was 10%.

Required

Determine the excisable duty payable?

Solution

EXCISE DUTY = (EX-FACTORY PRICE X QUANTITY) X EXCISE DUTY RATE
= (400X20,000 UGX) X 10%
= UGX 800,000

Digital Tracking Solution (DTS)

URA in partnership with Uganda National Bureau of Standards (UNBS) introduced the Digital Tracking Solution (DTS) as a track & trace platform that sends production and importation data for specific products immediately, to both URA and UNBS.

The Digital Tracking Solution involves the stamping of products with a digital stamp. The digital stamps comprise of both;

- a) Digital Tax Stamps - for tax purposes (URA) and;
- b) Conformity Stamps - for safety standards certification (UNBS)

Digital Tax Stamp

A Digital Tax Stamp is a marking that is applied to goods or their packaging and contains; security features and codes to prevent counterfeiting of goods and enable track and trace capabilities.

Goods affected by DTS include:

- a) Excisable goods that have been gazetted by the Minister, starting with wines, spirits, water, cigarettes, beer, soda, cement, sugar, cooking oil, fruit and vegetable juices, and any other alcoholic, non-alcoholic, and fermented beverages.
- b) Other goods as gazetted by the Minister of Finance, Planning and Economic Development.

NB. These products will not be allowed on the market without stamps.

The Digital Tracking Solution is used by both local manufacturers and importers of products, specified by the Commissioner by a notice in a gazette, and it is mandatory for these taxpayers to apply tax stamps.

Benefits of DTS

- a) Ability to conveniently verify and trace all specified goods throughout the distribution chain
- b) Make instant requests for report of one's daily, weekly, monthly transactions
- c) Improved record keeping since one can track their transactions
- d) Facilitation to comply through immediate access of details of your production/ imports, which in turn facilitates easy processing of VAT refunds and quickens return filing
- e) For importers, the system quickens customs clearing as the information would have been captured beforehand
- f) Reduction in smuggling and dumping of goods, hence controlling illicit trade and encouraging fair market competition

Penalties relating to tax stamps

A manufacturer who does not affix a stamp on gazetted goods is liable to pay a penal tax equivalent to double the tax due on goods or fifty (50) million Shillings, whichever is higher.

TAX INCENTIVES UNDER THE MANUFACTURING SECTOR

To ensure that persons in the manufacturing business get a fair return on investment, the Government of Uganda has continued to prioritize the sector, and over the years, many incentives have been introduced to boost the sector development, and these include;

Domestic Tax Incentives

INCOME TAX	
Type of Incentive	Conditions for the Tax Incentive
Cost of constructing an approved Industrial Building	A person who incurs expenditure in constructing a building to be used as a factory/ manufacturing premise and the factory/manufacturing premise is being used in generating income, is allowed a deduction in his return (Industrial Building Deduction) at a rate of 5% per year for a period of 20 years from the time he starts using the building.
100% deduction of Scientific research expenditure	A person who incurs expenditure for scientific research
100% deduction of training expenditure	Employers who train permanent residents or provide tertiary education not exceeding in the aggregate 5 years
10-year Exemption of Income derived by a person from undertaking any of the listed business activities in the Industrial Park or Free Zone. Operator in an Industrial Park or Free Zone who invests in processing agricultural products; manufacturing or assembling medical appliances, medical sundries or pharmaceuticals, building materials, automobiles and household appliances; manufacturing furniture, pulp, paper, printing and publishing of instructional materials; manufacture of tyres, footwear, mattresses or toothpaste.	Must invest a minimum of USD 10m for foreign investors and USD 300,000 for EAC citizens or USD 150,000 where the investment is made upcountry. Incentive takes effect from the date of commencement of the specified business, same incentives applies to an existing operator in an Industrial Park or Free Zone. The investor must use at least 70% of locally sourced raw materials and employ at least 70% EAC citizens who must take up at least 70% of the wage bill.

10-year exemption of Income derived by a person from undertaking any of the listed business activities outside an Industrial Park or Free Zone. Operator in an Industrial Park or Free Zone who invests in processing agricultural products; manufacturing or assembling medical appliances, medical sundries or pharmaceuticals, building materials, automobiles and household appliances; manufacturing furniture, pulp, paper, printing and publishing of instructional materials; manufacture of tyres, footwear, mattresses or toothpaste.	Must invest a minimum of USD 10 m for foreign investors and USD 300,000 for EAC citizens or USD 150,000 where the investment is made upcountry. Incentive takes effect from the date of commencement of the specified business, same incentives applies to an existing operator in an Industrial Park or Free Zone. The investor must use at least 70% of locally sourced raw materials and employ at least 70% EAC citizens who must take up at least 70% of the wage bill.
Exemption of Income derived from the exportation of finished consumer and capital goods	10 years. An exemption is valid from the beginning of the investment. Investors must export at least 80% of production. Investors must apply for and be issued with a certificate of exemption.
VAT	
Zero-rated	Exports
Nil VAT on the supply of feasibility study and design services and on the supply of locally produced raw materials and inputs.	Investment in processing agricultural products; manufacturing or assembling medical appliances, medical sundries or pharmaceuticals, building materials, automobiles and household appliances; manufacturing furniture, pulp, paper, printing and publishing of instructional materials; Must invest a minimum of USD 10m for foreign investors and USD 300,000 for EAC citizens or USD 150,000 where the investment is made upcountry.

	Incentive takes effect from the date of commencement of the specified business, same incentives applies to an existing operator in an Industrial Park or Free Zone. The investor must use at least 70% of locally sourced raw materials and employ at least 70% EAC citizens who must take up at least 70% of the wage bill.
Nil VAT on the supply of services to a manufacturer other than [a manufacturer who engages in supply of locally produced materials for construction of a factory or warehouse and the supply of locally produced raw materials and inputs or machinery and equipment to an operator within an industrial park, free zone or an operator within a single factory or other business outside the industrial park or free zone].	The investment capital of this manufacturer should be at least USD 30 million for a foreign investor or USD 5 million for a local investor, to conduct a feasibility study or to undertake design and construction, or in the case of any other manufacturer from the date on which the manufacturer makes an additional investment equivalent to USD 30 million for a foreign investor or USD 5 million for a local investor; who has capacity to use at least 70 percent of the raw materials that are locally sourced, subject to their availability, and Who has capacity to employ at least 70 percent of the employees that are citizens earning an aggregate wage of at least 70 percent of the total wage Bill.
Deemed VAT: Tax payable on a taxable supply made by a supplier to a contractor executing an aid-funded project is deemed to have been paid by the contractor provided the supply is for use by the contractor solely and exclusively for the aid funded project.	Contractors executing aid-funded projects
The supply of drugs, medicines and medical sundries manufactured in Uganda are zero rated	Manufactured in Uganda
Cash basis accounting for VAT on supplies made to the government	VAT registered suppliers

Zero rating the supply of menstrual cups and inputs for their manufacture	Suppliers and manufacturers of menstrual cups
EXCISE DUTY	
Nil excise duty on construction materials of a manufacturer, (excluding a manufacturer dealing in agro-processing, food processing, medical appliances, building materials, light industry, automobile manufacturing and assembly, household appliances, and furniture.	Must invest a minimum of USD 50m or, in the case of any other manufacturer, who makes an additional investment equivalent to USD 50m
Nil duty on construction materials of a factory or warehouse exclusive of those available on the local market, locally produced raw materials and inputs.	Operator within the industrial park, free zone or other business outside the industrial park or free zone that invests in processing agricultural goods; manufacturing or assembling medical appliances, medical sundries or pharmaceuticals, building materials, automobiles, household appliances or manufactures furniture, pulp, paper, printing and publishing of instructional materials. Must invest a minimum of USD 10m for foreign investors and USD 300,000 for EAC citizens or USD 150,000 where the investment is made upcountry. Incentive takes effect from the date of commencement of the specified business, same incentives applies to an existing operator in an Industrial Park or Free Zone. The investor must use at least 70% of locally sourced raw materials and employ at least 70% EAC citizens who must take up at least 70% of the wage bill.

Nil excise duty on construction materials of a manufacturer, whose investment capital is, at least 50 million US Dollars or, in the case of any other manufacturer, who makes an additional investment equivalent to 50 million US Dollars	Excludes a manufacturer dealing in agro processing, food processing, medical appliances, building materials, light industry, automobile manufacturing and assembly, household appliances, furniture.
Duty remission Excise duty will be remitted on plastic products manufactured for use in packaging of products for export, use in packaging medicaments and is manufactured from recycled plastic	Manufacturers of specified goods
STAMP DUTY	
No stamp duty on the execution of the following documents; i) debenture; whether a mortgage debenture or not, being of a marketable security – of total value; ii) further charge; any instrument imposing a further charge on a mortgaged property –of total value; lease of land – of total value; increase of share capital; transfer of land; an agreement to provide services on conducting a feasibility study or developing a design for construction.”	a) In case of a new manufacturer, who is subject to availability, has the capacity to use at least 70% of the locally produced raw materials, and employs at least 70% of citizens with an aggregate wage bill of the new manufacturer and whose investment capital is at least 50 million US Dollars b) In the case of an existing manufacturer who subject to availability has the capacity to use at least 70% of the locally produced raw materials, and employs at least 70% of citizens with an aggregate wage bill of the existing manufacturer from the c) date on which the manufacturer makes an additional investment equivalent of 35 million US Dollars
Nil Stamp duty on debentures, lease of land, Increase of share capital, transfer of land.	Operator within an industrial park or free zone or an operator of a single factory or other business outside the industrial park who invests in Agro processing, food processing, medical appliances, building materials, light industry, automobile manufacturing and assembly, household appliances, furniture.

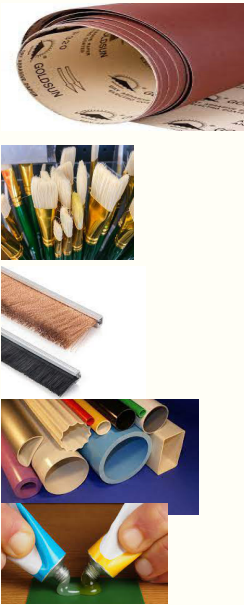
	Must invest a minimum of USD 10m for foreign investors and USD 300,000 for EAC citizens or USD 150,000 where the investment is made upcountry. Incentive takes effect from the date of commencement of the specified business, same incentives applies to an existing operator in an Industrial Park or Free Zone. The investor must use at least 70% of locally sourced raw materials and employ at least 70% EAC citizens who must take up at least 70% of the wage bill.
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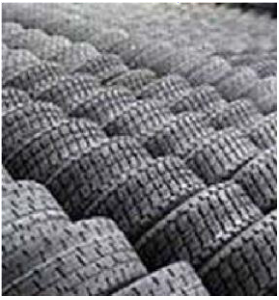
CUSTOMS

	Description	Tax incentive
	Raw materials used in the production of goods meant for export.	Duty draw back i.e. customs refunds of all or part of any import duty paid on material inputs imported to produce goods for export or used in a manner for a purpose prescribed as condition for granting duty draw back.
	Plant, machinery, equipment and raw materials used in the production of goods for export.	Manufacturing under bond facility. A facility extended to manufacturers to import plant, machinery, equipment and raw materials tax-free, for exclusive use in the manufacture of goods for export.
	Organic surface-active agents.	Remission of duty from 25% to 10% for one year for manufacturers of industrial tube mill coolant, textile and garments, footwear.

	Clear primer.	Remission of duty from 10% to 0% for the manufacturers of pre-painted coils and sheets for one year.
	Top coat colour primer (paint for iron sheets)	Remission of duty from 35% to 0% for the manufacturers of pre-painted coils and sheets for one year.
	--Erasers of rubber/pencil rubber tip -- Other (Other articles of aluminium)/Pencil ferrule	Remission of duty from 25% and 10% to 0% for the manufacturers of school pencils for one year.
	-- Of aluminium, not alloyed (aluminium coils)	Remission of duty from 10% to 0% to manufacturers of kitchenware for one year.

	Petroleum Base Oils	Remission of duty at 0% to manufacturers of lubricants
	-Other polymers in primary forms --Other Printing ink	Remission of duty from 10% to 0% on raw materials used in the manufacture of metal crown caps for one year.
  	Other appliances - Parts --- Other plates - Other aromatic hydrocarbon mixtures --- Zinc oxide - Natural magnesium -- Other Lubricating preparations	Remission of duty from 25% to 10% and 10% to 0% on inputs for the manufacture of tyres and tubes for one year.

	- On a base of paper or paperboard only/ sand paper jumbo roll -- Other/Paint brush bristles --- Unprinted/PVC strip -- Adhesives based on polymers - Other Felt - Long pile	Remission of duty from 25% to 10% and 10% to 0% on inputs for the manufacture of construction sand paper and paint brushes for one year.
	Other paper, paperboard, Uncoated kraft paper and paperboard, other plates, sheets, film, foil and strip, of plastics, Paper or paperboard labels of all kinds, whether or not printed.	Stay of application of the EAC CET rate of 35%, 25% and 10% and apply a duty rate of 10% (for 25% and 35%) and 0% for 10% respectively for one year
	White refined sugar for Industrial use. The industrial sugars category includes sweeteners that serve food and confectionery manufacturers, as well as the catering, baking, pharmaceutical and beverage industries	Duty remission to 25% on imported white refined sugar (for industrial use).

	Paper for use in the manufacture of exercise books and textbooks. An exercise book or composition book is a notebook that is used in schools to copy down school work and notes.	Imported at import duty rate of 0% under duty remission scheme for one year.
	Stranded wire used in manufacture of tyres. A stranded wire as opposed to solid wire is a composite of a bundle of small gauge wires wrapped in a particular pattern inside insulation to make a larger conductor.	Duty remission at 0% for manufacturers of motor vehicle tyres for one year.
	Treads for cold retreading used in retreading of tyres. The tread of a tyre or track refers to the rubber on its circumference that contacts the road or the ground. Retread, also known as "recap," or a "remold" is a re-manufacturing process for tyres that replace the tread on worn tyres.	Duty remission to 0% for manufacturers of motor vehicle tyres under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.

	Raw materials for manufacture of aluminium cans for the dairy industry. Aluminium can is a bucket, pail, or other container made of aluminium that is used for holding or carrying liquid, food, beverage etc.	Duty remission to 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Unassembled (Complete Knocked Down) motorcycle kits imported by approved local assemblers of motorcycles.	Imported at an import duty rate of 10% under duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Unassembled (Complete Knocked Down) bicycle kits imported by approved local assemblers of bicycles.	Imported at an import duty rate of 0% under duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Raw materials and inputs used in the assembly of transformers and switchgear.	Imported at an import duty rate of 0% under duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Raw materials for the manufacture of sanitary towels and tampons	Remission of import duty rate of 0% under duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.

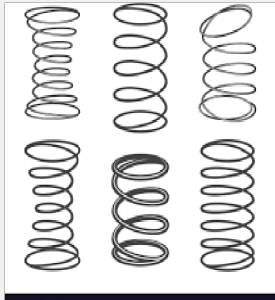
	Inputs used for the production of solar panels	Remission of import duty rate 0% under duty remission of scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Component parts and inputs for the assemblers of refrigerators and freezers.	Remission of import duty rate of 10% under duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Inputs and raw materials to use in the manufacture of food supplements for infants and nutrient-deficient persons	Remission of import duty rate of 0% under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Scrap batteries for manufacture of lead batteries	Remission of import duty rate of 0% under duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Inputs used in the production of gas cylinders imported by manufacturers of such cylinders	Duty remission to 0% under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.

	Inputs for the manufacture of dry cell batteries.	Duty remission to 0% under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Inputs for the manufacture of matches and match boxes.	Duty remission to 0% under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Inputs for the manufacture of deep-cycle batteries	Duty remission to 0% under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Materials for the manufacture of mosquito nets	Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004.
	Inputs for use in the manufacture of medical diagnostic kits imported by manufacturers of medical diagnostic kits, as approved by a Director Medical Services	Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004.

	Packing materials and raw materials for the manufacture of medicaments	Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004.
	Iron and steel products for the manufacture of automobile leaf springs, bolts and nuts	Duty remission on inputs to 0% under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Trigger spray and lotion pumps for the manufacture of cosmetic containers	Duty remission on inputs to 0% under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Noodles for the manufacture of toilet soap	Duty remission to 10% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Umbrella heads for roofing nails	Import duty remitted from 25% to 10% for the manufacture of roofing nails.

	Glucose Syrup	Import duty is applicable at a rate of 0% for one year.
	Odiferous mixtures of a kind used as raw materials in the food and drink industries	Duty remission to 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Inputs for the manufacture of toothbrushes	Granted duty remission at 0% on inputs for the manufacture of toothbrushes under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Nylon yarns for the manufacture of fishing nets.	Duty remission to 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Inputs imported by a manufacturer for the use in the manufacture of agricultural equipment.	Duty remission to 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.

	Inputs used in the manufacture of pesticides, fungicides, insecticides and acaricides as approved by the Ministry of Agriculture	Duty remission at 0% on inputs used in the manufacture of pesticides, fungicides, insecticides, and acaricides as approved by the Ministry of Agriculture.
	Inputs used in the manufacture of energy stoves.	Duty remission at 0% on inputs used in the manufacture of energy saving stoves.
	Roofing tiles coated with acrylic paint and the weather side coated with natural sand granules	Inputs for the manufacture of roofing tiles to be imported at a duty rate of 0% for one year. Inputs for the manufacture Roofing tiles coated with acrylic paint and the weather side coated with natural sand granules to be imported at a duty of 0% for one year.
	Jacquard material for making spring mattresses (printed with Logo)	Import duty applicable at a rate of 10% for one year instead of 25%.

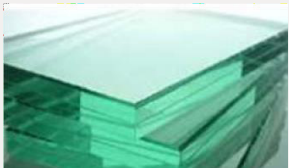
	Weave fabrics of polyester staple fibre Woven Grey Fabric of higher (finer) yarn counts for wet.	Import duty applicable at a rate of 10% instead of 25% for one year.
	Poly Cotton Material for making mattresses	Import duty applicable at a rate of 10% for one year. To support the textile sector by increasing the availability of these materials.
	Catalytic preparations for the manufacture of foam and spring mattresses	Duty remission from 10% to apply a duty rate of 0% for one year for the manufacture of foam and spring mattresses.
	Other springs and leaves for the manufacture of foam and spring mattresses	Duty remission from 25% to 10% for one year for the manufacturers of foam and spring mattresses
	Poly Vinyl Alcohol	Import duty applicable at a rate of 0% instead of 10%.

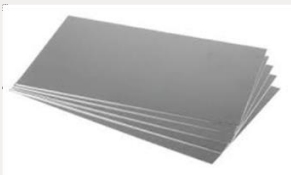
	Wheat Grain	Import duty is applicable at a rate of 10% instead of 35% for one year.
	Barley	Import duty is applicable at a rate of 10% instead of 25% for one year.
	Aerosal cans	Duty remission to 0% instead of 10% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Organic surface-active agents (Anionic) (LABSA)	Duty remission to 0% instead of 10% for one year for manufacturers of detergents and liquid soaps under the duty remission scheme, in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Organic surface-active agents (Cationic)	Duty remission to 0% instead of 10% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.

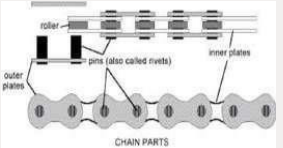
	Textile garments coated with gum for direct use in the manufacture of books	Duty remission to 0% instead of 10% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Duplex boards	Duty remission to 0% instead of 10% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Inputs for assembly of ships	Duty remission to 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Inputs for assemblers of equipment specially designed for use by disabled, blind and physically handicapped persons	Duty remission to 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Inputs for manufacture of filters	Duty remission rate of 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.

	Groats and meal of wheat	Duty remission rate of 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Unassembled speakers (CKD) inputs for assembly of speakers	Duty remission rate of 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Unassembled (CKD) hot water kettles- inputs for assembly of hot water kettles	Duty remission rate of 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Unassembled (CKD) DVD players - inputs for assembly of DVD players	Duty remission rate of 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Unassembled flat iron (CKD) inputs for assembly of flat iron	Duty remission rate of 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.

	Unassembled (CKD) blenders - inputs for assembly of blenders	Duty remission rate of 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Unassembled (CKD) LED, CFL bulbs - inputs for assembly of LED & CFL bulb	Duty remission rate of 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Unassembled floor, table and wall fans	Duty remission rate of 10% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Unassembled Cookers	Duty remission rate of 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Listed inputs for the manufacture of furniture	Duty remission rate of 0% and 10% under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.

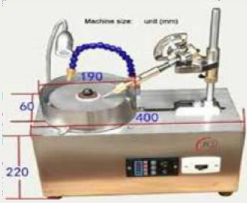
	Steel Blanks for Spoons and forks	Duty remission rate to 10% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Stranded wire, ropes and cables for the manufacture of toughened and laminated glass	Duty remission rate to 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Other plates, sheets, film, foil and strip, of plastics, noncellular and not reinforced, laminated, supported or similarly combined with other materials. Of poly (vinyl butyral) for the manufacture of Toughened and laminated glass.	Duty remission rate of 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Non-wired glass for the manufacture of Toughened and laminated glass.	Duty remission of 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.

	Paints and varnishes (including enamels and lacquers) based on synthetic polymers or chemically modified natural polymers, dispersed or dissolved in a non- aqueous medium for the manufacture of decorative aluminium panels	Duty remission to 10% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Aluminium plates, sheets and strip of a thickness exceeding 0.2 mm of aluminium alloy for the manufacture of decorative aluminium panels	Duty remission to 10% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Listed inputs for the manufacture of baby diapers	Duty remission to 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Acrylic polymers for manufacture of paints	Duty remission to 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.

	Listed inputs for the manufacture of textiles (garments)	Duty remission to 0% and 10% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004
	Listed inputs for the manufacture of footwear (shoes)	Duty remission to 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004
	Raw salt for the manufacture of edible salt of sub-heading 2501.00.10	Duty remission to 10% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004
	Inputs for the assembly/ manufacture of mobile phones	Duty remission to 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004
	Parts of chains for assemblers of chains for motorcycles, bicycles and industrial machinery	Duty remission to 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004

	Valves and their corresponding component parts are used for the manufacture of motorcycle tubes	A remission of duty to apply a duty rate of 0% for one year.
	Brake linings and pads, Brakes and servo-brakes; parts thereof; Other Adhesive Glues	A remission of duty to apply a duty rate of 0% for one year.
	High tensile galvanised wire	Duty remission to 10% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004
	Aluminium wire, not alloyed: -- Of which the maximum cross-sectional dimension exceeds 7 mm	A remission of duty from 10% to 0% for one year to only cable manufacturers

	Wires of alloyed steel	Stay of application of the EAC CET rate of 10% and apply a rate of 0% up to 30 June 2024.
	Other Zinc coated coils	A remission of duty to 0% on Galvanised coils of a thickness of 2.5mm and above for one year. To support the local manufacture of guard rails
	Listed Packaging materials and plastic materials for coffee	A remission of duty to apply a duty rate of a 0% instead of 10%, 10% instead of 25% on packaging material used by domestic processors of coffee, for one year

	Listed equipment for polishing and Heating gemstones	Duty remission to 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004
	Active yeasts	
	Petroleum jelly	Duty remission to 10% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004
	Polyurethane resins	Duty remission to 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004

	Uncoated/ Unbleached Kraft Liner paperboard, in rolls or sheets, Glues based on starch Other plates, films, sheets of plastic, paper or paper board labels whether printed or not	Duty remission from 35% and 10%, to 10% and 0% respectively for one year for manufacturers of paper bags, corrugated boxes for exporting products, raw materials used in the manufacture of surgical and examination medical gloves under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004
	Unbleached sack Kraft paper in rolls or sheets	Duty remission to 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004
	Paper and paperboard coated, impregnated or covered with plastics (excluding adhesives)	Duty remission to 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004
	Other plates, sheets, film, foil and strip, of plastic --- unprinted	A remission of duty from 10% to 0% for one year. This is an input material for the label printing sector

	Mechanically Deboned Chicken Paste (MDM)	A remission of duty from 60% to 35% for one year on MDM in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Greaseproof papers; and Other, Other Kraft paper and paperboard	A remission of duty from 10% to 0% for one year, packaging material for manufactured cheese in accordance with section 140 of the East African Community Customs Management Act, 2004.
	Various goods entering export processing zone or Freeport strictly for manufacturing of goods for export. "Export processing zone" means a designated part of Customs territory where any goods introduced are generally regarded, in so far as import duties and taxes are concerned, as being outside Customs territory but are restricted by controlled access	Goods entering an export processing zone or a freeport shall be exempt from duty in accordance with the East African Community Customs Management Act
	Plant and machinery	VAT deferment. The VAT to be deferred should exceed \$4000 among other conditions as specified in the VAT Deferment Regulations.



Industrial replacement spare parts

- A spare part is a duplicate part to replace a lost or damaged part of a machine.
- Parts should be imported as replacement parts used exclusively on industrial machinery classified in Chapters 84 and 85 of the EAC

Common External Tariff

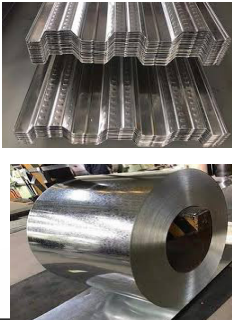
- Should be imported by registered manufacturers
- Should not be for resale or any other commercial purpose other than for replacement of worn out or obsolete parts of industrial machines subject to such conditions as the commissioner may impose

Exempted from all taxes under the fifth schedule of the East African Community Customs Management Act, 2004.

	Containers and Pallets used for packaging. Containers, including boxes, tins, bottles, jars and other packages in which any goods not liable to ad valorem duty are packed and imported being ordinary trade packages for the goods contained therein Containers specially designed and equipped for carriage by any mode of transport Imported containers which the commissioner is satisfied on the recommendation of the director veterinary services that it is specially designed for storing semen for artificial insemination Any other packing material of any kind designed for packing goods for export	Exempted from all taxes under the fifth schedule of the East African Community Customs Management Act, 2004.
	Pallets and pre-packing slings designed for packaging goods for export	Exempted from all taxes under the fifth schedule of the East African Community Customs Management Act, 2004.

HSC	Item Description	Illustration	Decision
7306.90.00 7308.40.00	Scaffolding pipes Cup lock systems, prop jacks, U jacks, base jacks		Remission of duty from 25% to 0% for one year for manufacturers of modular scaffoldings
3909.20.00	Melamine resins		Remission of duty from 10% to 0% for the manufacturers of kitchen ware for one year.
7220.11.00 7220.12.00 7220.20.00 7220.90.00	Flat-rolled products of stainless steel, of a width of less than 600 mm		Remission of duty from 10% to 0% on raw materials and inputs for the manufacture of stainless-steel pipes for one year
4810.13.00 4810.19.00	Paper and paperboard, in (rolls) and (sheets)		Remission of duty from 10% to 0% on raw materials for the manufacture of beer labels and cigarettes packaging for one year.

3210.00.91 3208.20.90	Lacquers Other (varnish)		Remission of duty from 35% to 0% on raw materials and inputs for manufacturing of metallic labels for one year
3215.11.00 3215.19.00	Printing Ink		Remission of duty from 25% to 10% for one year for manufacturers of labels using Ultra Violet (UV) inks and metallic inks
4819.10.00	Cartons, boxes and cases, of corrugated paper or paperboard		Remission of duty from 35% to 25% on raw materials for the manufacture of pharma grade packaging for medicine tablets and capsules, medicine inserts for the pharmaceutical industry for one year.
3920.49.00	Poly Chloride (PVC) Sheets		Remission of duty from 25% to 10% on raw materials for the manufacture of pharma grade packaging for medicine tablets and capsules, medicine inserts for the pharmaceutical industry for one year.

7607.19.90	Other- Aluminum foil		Remission of duty from 10% to 0% on raw materials for the manufacture of pharma grade packaging for medicine tablets and capsules, medicine inserts for the pharmaceutical industry for one year.
5408.34.00	Printed jacquard material		Remission of duty from 25% to 10% for inputs and raw materials for the manufacture of foam and spring mattresses for one year
3403.19.00	Metal working soluble coolant		Remission of duty from 25% to 0% as raw materials for manufacture of cold rolled coils from Hot Rolled Coils for one year
7210.49.00	Other zinc coated coils		Remission of duty from 25% to 0% as decking sheets used in construction of suspended floor for one year

3926.90.90 4202.12.00 4202.99.00 5516.94.00 6307.90.00 8301.40.00 8302.20.00 8302.49.00 9607.19.00	Edging strip Outer suitcase shell Interior compartments Suitcase liner and accessories Fabric material Combination lock Castor wheels Telescopic handle and its buttons Zipper to suitcase		Remission of duty from 25% to 10%, and 10% to 0% on raw materials and inputs for manufacture / assembly of suitcases for one year
3810.90.00	Preparations of a kind used as cores or coatings for welding electrodes.		Remission of duty from 10% to 0% for one year for manufacturers of welding electrodes
1516.20.00 1513.19.00 1901.90.10 2007.10.00 2007.99.00	Vegetable fats and oils and their fractions/ Cocoa butter substitute Other/coconut oil refined Malt extract/ Barley malt extract powder Homogenised preparations/ Nut paste/Nut butter Other/ Fruit puree		Remission of duty from 35% to 25%, 25% to 10% and; 10% to 0% on raw materials and inputs for the manufacturers of chocolates for one year

7607.11.00	Aluminium foil – jumbo roll -- Rolled but not further worked		Remission of duty from 10% to 0% for one year for the manufactures of aluminium foil packs for one year.
5603.11.00 9603.90.00	Duster pad materialnon-woven fabric Incomplete Dusters		Remission of duty from10% to 0% on inputs for the manufacture of school dusters for one year.
7307.92.00 7307.93.00 7307.99.00 7307.91.00 8481.80.00	Elbows, Equal tee, Reducing tee, End cap, Unions, Flanges adapter, Blind cap, Over bridge bow, Transitional piece, Valves, Coupling, Sockets		Remission of duty to 10% on raw materials and inputs for the manufacturers of specialized PPR pipes for one year.

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Surcharge 50,000
Total Amount 150,000
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